Part 3 Summary

This section develops an Organizational Authenticity Index to measure how closely companies' publicly stated values align with those emphasized in their formal disclosures. Using the findings from Parts 1 and 2, the goal was to examine whether companies give greater attention to the values they claim to prioritize and how this alignment varies across companies and over time.

Index Construction: I combined the themes identified on each company's "About Us" page with its corresponding proxy statement scores for the same year. Since industries naturally emphasize different values, I ranked each company's theme scores relative to other companies in the same sector and year.

I calculated the index by subtracting the company's average percentile across all ten themes from the average percentile of its stated values. This adjustment prevents companies that frequently discuss every theme from receiving higher scores simply because their disclosures contain more references to corporate values.

Measure	**What It Represents**
Sector-Year Ranking	How a company's emphasis on each theme compares with its industry peers
Authenticity Index	How strongly a company emphasizes its stated values relative to its overall theme emphasis
Authenticity Percentile	How the company's index ranks among all available company-year observations

Validation: I conducted three checks to evaluate the index. First, randomly pairing proxy statements with other companies' About Us pages produced lower scores than the actual pairings. Second, companies that publicly claimed a particular value generally emphasized it more in their proxy statements than companies that did not. Finally, I tested whether the index was influenced by how frequently companies discussed values overall. Unlike the initial version, the adjusted index showed no relationship with this general emphasis.

Key Findings: The index covers 293 company-year observations across 48 companies. Approximately 60% of observations showed positive alignment, although the overall strength of alignment was modest. Differences across sectors were relatively small, with Technology and Consumer Discretionary scoring highest. Home Depot, McDonald's, and Occidental Petroleum showed the strongest alignment, while Medtronic consistently scored among the lowest. Morgan Stanley's alignment also turned negative from 2019 onward.

Interpreting the Results: These findings suggest that the index captures meaningful differences in how companies emphasize their stated values. However, scores fluctuate over time, making company averages more informative than individual year-to-year comparisons.

Limitations: Incomplete historical About Us data reduces coverage in earlier years, while the small number of companies within each sector limits the precision of rankings. More importantly, the index measures consistency between public statements and formal disclosures rather than actual corporate behavior. Despite these limitations, it provides a systematic approach to evaluating the alignment between stated and disclosed corporate values.